

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, AT HYDERABAD.

C.P. (CAA) No.14/230/HDB/2017
(Transferor Company)

C.P. (CAA) No.15/230/HDB2017
(Transferee Company)

(Connected with Company
Application No.1641/2016& 1642/2016)

In the matter of the Companies Act, 2013

And

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

M/s WIKI KIDS Limited
(Transferor Company)

AND

M/s AVANTEL Limited
(Transferee Company)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

CERTIFIED TO BE TRUE COPY
OF THE ORIGINAL



WIKI KIDS Limited

Having its Registered Office situated at
Sy. No.141, Plot No.47/P, APIIC Industrial Park,
Gambheeram (Village), Anandapuram,
Vishakahaptam District – 531 163,
Andhra Pradesh, India
Represented by its Director
Mr. Ramesh Kosaraju.

...Petitioner/Transferor Company

AND

Avantel Limited,
Registered Office situated at Sy.No.141,
Plot No.47/P, APIIC Industrial Park,
Gambheeram (V), Anandapuram (M),
Vishakhapatnam – 531 163
Andhra Pradesh

...Petitioner/Transferee Company

Judgement Delivered on: 13.07.2017

CORAM:

Hon'ble Mr. Rajeswara Rao Vittalala, Member (Judicial)

Hon'ble Mr. Ravikumar Duraisamy, Member (Technical)

Counsel for the Petitioners: ...Mr. Y. Suryanarayana

Counsel for the R.D. : ...Mr. B. Appa Rao, CGST

Counsel for the
Official Liquidator (OL) ...Mr. M. Anil Kumar

Per: Ravikumar Duraisamy, Member (Technical)

J U D G E M E N T

1. The instant Company Petition has been filed by the Transferor / Transferee Companies under Section 230 to 232 of the Companies Act, 2013, before the Hon'ble High Court of Judicature at Hyderabad for the State of Telangana and the State of Andhra Pradesh. The object of the Petition is to obtain sanction of the Scheme of Amalgamation between Wiki Kids Limited (Transferor Company) and Avantel Limited (Transferee Company) and their respective Shareholders, employees and Creditors with effect from the appointed date 01.04.2016.

2. A Gazette Notification GSR 1134 (E) dated 14th December, 2016 issued by the Ministry of Corporate Affairs with effective date of 15th December, 2016, and in terms of Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 & Rule 23A of NCLT Rules R/w Rule of Companies (Transfer of



Pending Proceedings) Rules, 2016, jurisdiction is conferred on this Tribunal in respect of subject cases and thus pending cases also transferred from the Hon'ble High Court to the NCLLT. Accordingly, the Hon'ble High Court transferred this case to this Bench. On transfer, case is listed before this Bench on 17/02/2017, 16.03.2017, 21.03.2017, 05.06.2017

3. Brief facts are as follows:

a) The Petitioner / Transferor Company viz., Wiki Kids Limited was originally incorporated as a Private Limited Company under the name and style "KNOWLEDGE INSIGHT DISSEMINATION SYSTEMS PRIVATE LIMITED" on 15.04.2004 vide Corporate Identity No.U72200AP2004 PTC44437 of 2004-05. Subsequently the company was itself converted into a Public Limited Company under the provisions of Companies Act, 1956, and the name was changed to M/s WIKI KIDS Limited by way of a fresh Certificate of Incorporation on 05.06 vide CIN U72200AP2004PLCO44437.



4. The Petitioner / Transferor Company submitted its Audited Balance Sheet as at 31.03.2016. According to the Audited Balance Sheet, the Authorised Share Capital of the Petitioner / Transferor Company is Rs.2,00,00,000/- (Rupees Two Crores only) divided into 20,00,000 (Twenty Lakhs) equity Shares of Rs.10/- each and issued, subscribed and paid up share capital is Rs.1,17,00,000/- (Rupees One Crore Seventeen Lakhs only) divided into 11,70,000 (Eleven Lakh Seventy Thousand) equity shares of Rs.10/- each fully paid up and its registered office is situated at Sy.No.141, Plot

No.47/P, APIIC Industrial Park, Gambheeram (Village),
Anandapuram, Vishakhapatnam, District – 531 163.

5. The objects of the Company is (1) to provide in India or abroad e-learning, computer based training (CBT), and business of consultancy services and technology development in e-learning business and solutions, web designing & hosting, internet content, application services, software development services, internet services, evaluation and strategy development services, selective outsourcing services, training centres and other incidental or ancillary objects.

6. The Petitioner/ Transferee Company M/s Avantel Limited was originally incorporated as a Private Limited Company under the name and Style "Dialog Communications Private Limited on 30.05.1990, vide Certificate of Incorporation No.01-11334 of 1990-91. Subsequently the name of the Company was changed from 'Dialog Communications Private Limited' to Avantel Communications Private Limited and obtained a fresh Certificate of Incorporation on 11.08.1993 and subsequently the company converted itself into a Public Limited Company duly deleting the word on its conversion and got incorporation on 20.12.1994. Further the Company was once again changed its name from "Avantel Communications Limited" to "Avantel Softech Limited" and obtained a Fresh Certificate of Incorporation on 02.12.2008. The name of the company was once again changed from "Avantel Softech Limited" to Avantel Limited" and obtained a Fresh Certificate of Incorporation on 25.09.2008 under the provisions of



the Companies Act, 1956 and the present Identification No. (CIN) of the Company is L72200AP1990PLC011334.

7. The Authorised Share Capital of the Transferee Company is Rs.7, 00, 00,000/- (Rupees Seven Crore only) divided into 70, 00,000 (Seventy Lakh) Equity Shares of Rs.10/- (Rupees Ten only) each. The Issued, Subscribed and Paid-Up Share Capital, as on 31.03.2016 is Rs.4,05,50,930/- (Rupees Four Crore Five Lakh Fifty Thousand Nine Hundred and Thirty Only) divided into 40,54,493 (Forty Lakh Fifty Four Thousand Four Hundred Four Hundred and Ninety Three only) fully paid up Equity Shares of Rs.10/- (Rupees Ten only) each and 1,200 (One Thousand Two Hundred) forfeited Equity Shares of the face value of Rs.10/- (Rupees Ten only) each, Rs.5/- (Rupees Five only) Paid up.



8. The main objects of the Transferee Company are: to design develop, acquire, manufacture, purchase, sell, or otherwise transfer, lease import, export, hire, license, use, dispose of, operate, fabricate, construct, distribute, demonstrate, assemble, repair overhaul, recondition, work upon, maintain or otherwise and generally deal in all kinds of Electronic, Electrical, Mechanical Equipments' used in and / or for Audio, Visual Communications and office automation, and other equipment's, apparatus, components, appliances, devices, controls, instrumentation materials and parts or articles or things, connected therewith; to do research, design, develop, manufacture, buy, sell, all kinds and ranges of telephone microwave, navigational; to carry on the business of consultant on engineering and other industrial matters; to carry on the business of electronic and computers in all kinds of descriptions; to carry on

business of consultancy and technology development such as Software Consultancy, management consultancy etc.,

9. The Hon'ble High Court in the Company Application No.1641 of 2016, vide its order dated 13.12.2016 dispensed with the requirement of convening the meeting of the Shareholders of the Transferor Company since all the 10 Shareholders have given their consent to the Scheme of Amalgamation, by way of Affidavits. The Transferor Company does not have any creditors as on 30.11.2016.
10. The Hon'ble High Court in the Company Application No.1642 of 2016, vide its order dated 13.12.2016 dispensed with the meeting of the secured and / Trade Creditors. The Company owes an amount of Rs.42,84,005 to eight Creditors and they have given consent for the scheme of amalgamation. The Company owes an amount of Rs.12,53,08,652/- to one Secured Creditor viz., Canara Bank and the Secured Creditor had given its consent for the proposed scheme of Amalgamation. The petitioner also provided elaborate details on Court convened meetings, e-voting, postal ballot etc.,
11. The said Court convened meeting was attended by 27(Twenty Seven Only) Members in person holding 10,33,881(Ten lakhs Thirty Thousand Eight Hundred and Eighty One Only) equity shares of RS.10/- (Rupees Ten only) each aggregating 25.50% of the total paid up capital of the Transferee Company and 2 (Two Only) Members through proxy holdings 52,740 (Fifty Two Thousand Seven Hundred and Forty only) equity shares of Rs. 10/- (Rupees Ten Only) each aggregating 1.30%. of the total paid up capital of the Transferee Company. In total 29(Twenty Nine Only) persons including proxies holding 10,86,621(Ten Lakhs Eighty Six



Thousand Six Hundred and Twenty One Only) equity shares of Rs. 10/- (Rupees Ten Only) each aggregating 26.80% of the total paid up capital of the Transferee Company.

12. It is submitted that the Company had, pursuant to the provisions of Section 108 and Section 110 of the Companies Act, 2013 read with Rule 20 and Rule 22 of the Companies (Management and Administration) Rules, 2004, as amended, and Regulation 44 of the SEBI (LODR) Regulations, 2015, and pursuant to the provisions of SEBI Circular No. CIR/CFD/CMD/16/2015, dated 30.11. 2015, provided for voting through Postal Ballot and E-voting facilitating to its members in respect of the business to be transacted at the court Convened Meeting of the Transferee Company.

13. The voting through Postal Ballot and through E- Voting remained open from 28th day of December, 2016, 09: AM to 26th day of January, 2017, 05.00 PM and was blocked thereafter.

14. Further, as directed by the NCLT vide order dt.17.02.2017, the Petitioner Companies have carried out the publication of date of hearing of the Petition in Business Standard, English daily, and Andhra Bhoomi, Telugu daily on 23.02.2017. The Director of the Petitioner Company has filed an affidavit dated 13.03.2017 with the NCLT stating that the Petitioners company did not receive any objections to the Scheme of Amalgamation from any shareholder, creditor or any other person / entity from the date of publication of the hearing date in the newspapers till the date of filing the Affidavit on 16.03.2017.

15. Clause 29 of Part III (B) of Memorandum of Association of the Company provides that subject to Section 391 to 394 of the Act,



Amalgamate with any other company having all or any of its objects similar to the objects of the company in any manner, whether with or without liquidation of the Company; That as per the audited Balance Sheet as on 31.03.2016, the petitioner company has not availed secured loans. However, shown an amount of Rs.13, 982/- towards Audit fee and TDS.

16. Though orders were reserved on 21.03.2017 the case was posted on 05.06.2017 for seeking certain clarifications from the Petitioners Company. After hearing the Counsel and as requested 10 days' time was granted to file information by way of Affidavit and orders were reserved. Subsequently an affidavit dated 08.07.2017 was filed by the Director Mr. N. Naveen of the Transferee Company, clarifying certain points especially regarding the rationale of the scheme, valuation report submitted to the regulatory authorities and the comments received from them etc. The petitioners company has explained the various E-learning platforms developed by the transferor Company, man hours involved, the contents developed etc.

17. Upon perusal of the documents submitted by the Petitioners Company, it is observed that the Transferor Company viz Wiki Kids was incorporated on 15.10.2004. But it has not yet started any commercial operations and hence no Profit & Loss Account was prepared and it has also stated that income from business operation is NIL and the Transferor Company had income from other source i.e., only on Fixed Deposit amounting to Rs.85,490 for the Year ended 31.03.2016.



18. As per the details provided under the Head Capital Work in progress an amount of Rs.94. 67 lakhs had been spent out of Rs.117 lakhs Issued Subscribed and Paid up Share Capital which means the Transferor Company's value is approximately Rs.22.32 lakhs. The facts of the case shows that the Transferor Company is yet to commence its commercial production / operation for almost 13 years, whereas the rationale as stated in the scheme of amalgamation is that "Amalgamation will enable Avantel to diversify into high growth and profitable areas of business without any gestation. It enables Avantel to improve steadiness of cash flows and to participate more vigorously and profitably in an increasingly competitive and liberalized market; The amalgamation would result in optimizing and ever growing existing resources and infrastructure of Avantel; The combined entity would result in improved cash flows, increased net worth, better credit rating, and thereby strengthening the value of all the stakeholders of the Company.



19. Perusal of the documents also revealed that Cash Flow statement was not forming part of the Transferor Company and the income earned as on 31.03.2016 is only Rs.85,490 through interest income on Fixed Deposit.
20. Major Shareholders/ promoters of transferee company are Mr. Abburi Vidyasagar, (2) Mr. Abburi Sidhartha Sagar (3) Ms. Abburi Sarada (4) Ms. Abburi Sailaja and major shareholders of the Transferor Company i.e., Wiki Kids are (1) Dr. A. Vidyasagar (2) Mr. A. Siddhartha Sagar (3) Ms. Abburi Sarada and (4) Ms. A. Sailaja.

21. As per the share exchange ratio the promoters/shareholders of the transferor company would be eligible "100 (One Hundred) equity share in the Transferee Company of the face value of Rs.10/- (Rupees Ten only) each credited as fully paid-up for every 289 (Two Hundred and Eighty Nine) equity shares of Rs.10/- (Rupees Ten only) each fully paid-up held by such member in the Transferor Company." The Audit Committee and the Amalgamation Committee of the Transferee Company has taken into account the recommendations on the Share Exchange Ratio given by M/s Nekkanti Srinivasu & Co., Chartered Accountants, acting as independent chartered accountants, and the fairness opinion provided by M/s Mark Corporate Advisors Private Limited, acting as the merchant banker. On the basis of their evaluation and its own independent judgement, the Audit Committee the Amalgamation Committee has recommended the Scheme, including the Share Exchange Ratio to the Board of Directors of the Transferee Company. The eligible number of shares works out to 4,04,845 shares and the same is multiplied with the market price of Rs.124.80 as on 31.03.2016 works out to Rs.5.05 Crores. However, the market price of Avantel Limited i.e., transferee company closed at Rs.296.40 on 30.06.2017 and on the same date it touched the market high of Rs.306.50. If we consider the closing market price, it works out to approx. Rs.11.99 crores and if we consider highest market price on 30.06.2017 the same works out to approx. Rs.12.40 crores. The shares to be allotted by the transferee company to the shareholders of Transferor Company are nothing



but common promoters of both the transferor and transferee company (M/s Wiki Kids Limited and Avantel Limited).

22. We have also observed that neither BSE; SEBI; Registrar of Companies (ROC); Regional Director (RD) and Official Liquidator (OL) have not scrutinized the above angle, financial benefit flowing only to the few common promoters for an amount of Rupees approx.. Rs.12 Crores for a net worth/ value of approx...Rs. 22.32 Lakhs of transferor Company.

23. Further it is also observed that the Company Petition was filed under Section 230 to 232 of the Companies Act 2013 whereas the Board resolution dated 03.09.2016 was under Section 391 to 394 of the Companies Act, 1956. The transferor company i.e., Wiki Kids Limited was promoted by promoters of Avantel Limited and they hold 99.99% of Paid up Share Capital of Wiki Kids Limited. The Scheme of Amalgamation submitted/circulated to the Shareholders and Creditors do not have the list of names of shareholders, names of Directors of both the Companies, the disclosure that shares of the transferee company would be allotted to the common promoters of Transferor Company. In the absence of the above vital information in the scheme of amalgamation, document submitted to various stake holders, they were handicapped to take a well informed decision as to whether to approve / reject the scheme. We are also of the considered view that the entire scheme of amalgamation was conceived / designed to benefit only major common promoters of both the companies and no/negligible public interest is involved in this case especially the transferee company



being a listed company having more than four thousand shareholders as on 25.11.2016.

24. Therefore, we are of the considered view that the amalgamation of scheme in question is beneficial only for the common promoters of both the companies and public interest is not being served as envisaged in the scheme. Moreover the rationale, objective and purpose of scheme as stated is not justified based on the above facts / discussions. Therefore, we deem it fit not to sanction/confirm the scheme as prayed for.



25. The Petitioners Company are also directed to issue a public notice in the same newspapers in which earlier notice was issued, intimating about the status of the scheme in the interest of public.

26. We also direct both the Petitioner Companies to file a certified copy of this order with the Registrar of Companies, Hyderabad.

27. No Orders as to costs.

8d/-
RAVIKUMAR DURASAMY
MEMBER (TECHNICAL)

8d/-
RAJESWARA RAO VITTANALA
MEMBER (JUDICIAL)

CERTIFIED TO BE TRUE COPY
OF THE ORIGINAL

V. Annapoorna
V. ANNAPOORNA
Asst. DIRECTOR
NCLT, HYDERABAD.

प्रमाणित प्रति
CERTIFIED TRUE COPY

केस संख्या
CASE NUMBER C.P.(NCLT) NO. 14/230/HDB/2017
निर्णय का तारीख
DATE OF JUDGEMENT 13-7-2017
प्रति तैयार किया गया तारीख
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